commitment to the NBFC sector, here is what the RBI says on its website regarding its role in non-banking regulation: ‘This role is, perhaps the most unheralded aspect of our activities, yet it remains among the most critical. This includes ensuring credit availability to the productive sectors of the economy, establishing institutions designed to build the country’s financial infrastructure, expanding access to affordable financial services and promoting financial education and literacy.’

That said, we certainly need to simplify the regulatory structure; but even more importantly, we need to increase vigil against excesses, malpractices and frauds. The ultimate, and certainly the most robust, defence against excesses, malpractices and fraud is widespread financial literacy.

As of now, financial literacy remains a scarce commodity, even among people who are supposed to be disseminators of financial literacy. Let me illustrate. The legendary Ela Bhatt, founder of the Self Employed Women’s Association (SEWA) and pioneering social activist, was on the board of the Reserve Bank during my tenure and brought a tremendous amount of grass-root sensitivity to bear on the Reserve Bank’s policies. She presented me a copy of her book, *We Are Poor but So Many: The Story of Self-Employed Women in India*, which I read avidly. One incident that Ela related in her book remains etched in my memory. She took a vegetable vendor to a bank for a loan. The bank manager quizzed both Ela and the applicant in several sessions over several days, but was unable to make up his mind. Ela says that after all that vacuous and vexatious interrogation, she realized that ‘financial literacy was on the other side of the table’!